EXPERT TAKE FOLLOW THE MONEY

# *Scaling China's Hidden Intervention In the Foreign Exchange Market*

Is China's actual intervention even larger than I thought?

PUBLISHED
June 4, 2026 8:12 p.m.

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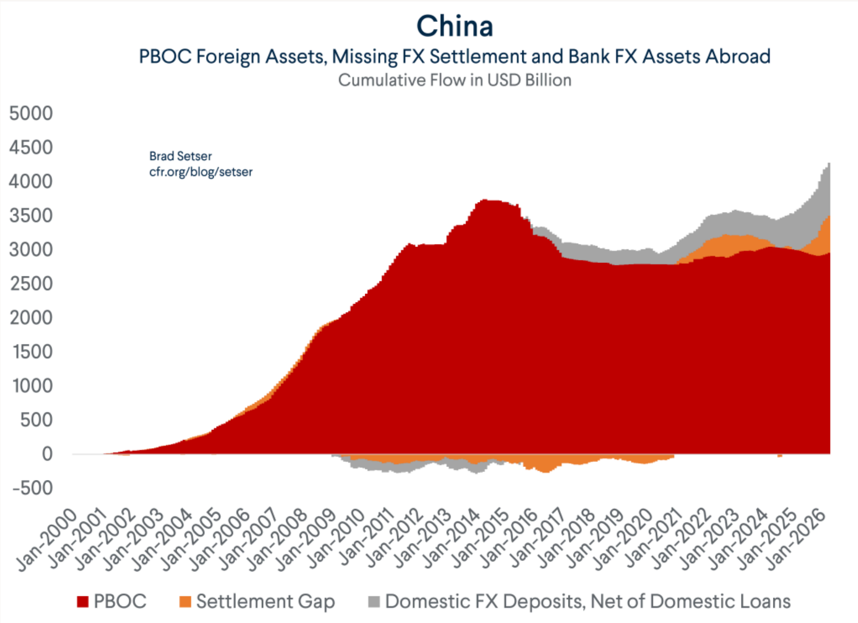
China's central bank (the PBOC) has been arguing—in conversations with some think tanks—that the rise in the foreign assets of China's state commercial banks just reflects investments financed by a rise in domestic foreign currency deposits. Since the state banks are just putting foreign currency raised domestically to use globally, the rise in the state banks foreign assets doesn't reflect backdoor intervention to support the yuan.

Fair enough.

That is the best possible argument available to the PBOC at a time when the foreign assets of China's state banks have surged.




Of course, there is also reason to be suspicious.

The state banks have in the past been used to disguise PBOC intervention, as the PBOC provided the state banks with some of the foreign exchange it bought to manage, and thus moved the foreign exchange out of reported reserves.*

This certainly happened in 2005 and 2006, when the PBOC used swaps to transfer dollars over to the state banks (the state banks invested the funds in foreign bonds, and registered as a portfolio debt outflow). It happened again in the 2007 and 2008, which the state commercial banks were required to hold a portion of their required reserves in foreign currency. This registered as other foreign assets on t[illegible]OC's balance sheet, and as an “other, other” outflow in the balance of payments.* By contrast, countries like Turkey and Argentina report the foreign exchange that domestic banks hold at the central bank as part of their required domestic reserves, and as part of the central banks’ foreign exchange reserves.

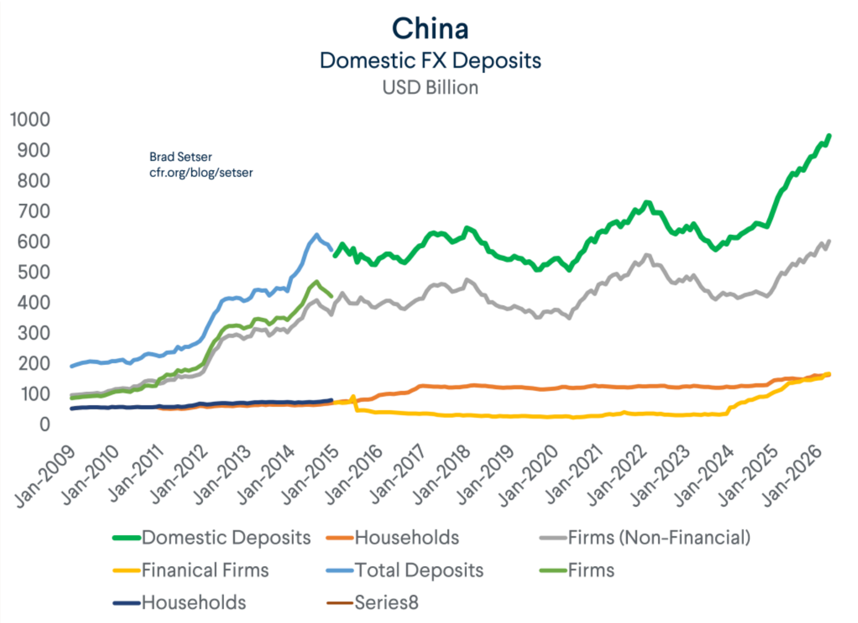
But these examples are from the past, and they didn’t coincide with a rise in the state commercial banks’ domestic foreign currency deposits.

At the same time, the fact that reported foreign currency deposits are rising should not get the PBOC off the hook.

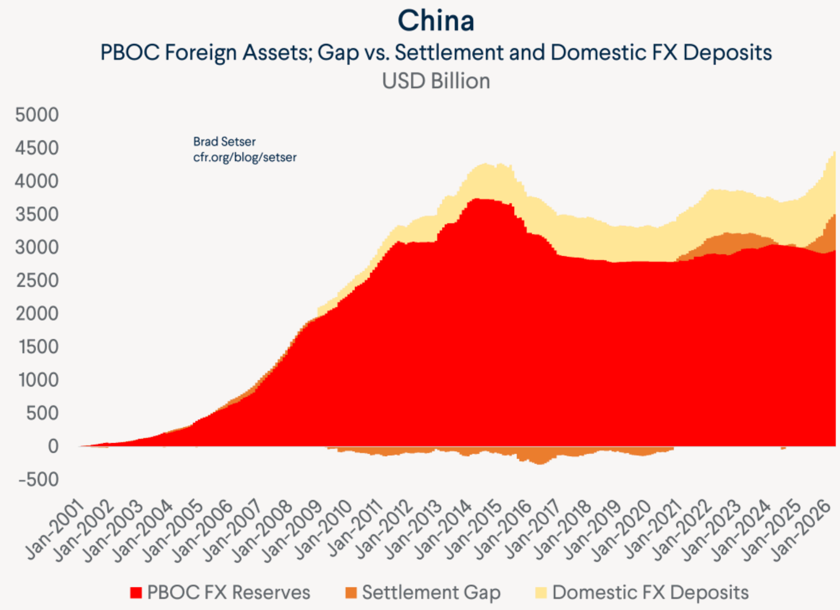
The RMB is obviously managed; its moves are driven by the PBOC’s daily fix, and it has far less volatility than a freely floating currency.

The deposit line item itself could reflect backdoor management (the FT back in 2023 called the banks’ domestic FX deposits hidden reserves).

And the deposit series itself has long been a bit suspicious.




There was a surge in 2012 for example, which came out of nowhere and coincided with the absence of any PBOC reserve growth (during a U.S. election year where Governor Romney was making China's currency an election issue). It turned out that the rise in deposits was driven by unusually high dollar interest rates, which pulled dollars into the state banking system. In 2013, after the U.S. election, the PBOC returned to more normal reserve accumulation.




And there was another surge in foreign currency deposits in 2020 and 2021.

That too is a bit suspicious.

The Fed ad cut U.S. interest rates in the pandemic, and thus the apparent incentive to hold dollars wasn't there. Chinese policy rates were in fact above U.S. rates, so there wasn't any obvious incentive for Chinese firms to place a lot of dollars in the state banking system.

Foreign currency deposits then fell when the Fed raised rates to contain the post-pandemic surge in inflation in 2022 and 2023. I repeat: deposits fell as the Fed raised rates, and China was, at the time, cutting yuan rates to prop up its domestic economy after the property bubble burst.

Basically, dollar deposits moved in th[illegible]site direction of interest rate differentials (and

CNY/USD) from 2020 to 2023. By contrast, they moved in the way one would expect central bank reserves would move if the central bank was managing its currency to dampen volatility.

The recent runup in foreign currency deposits is also a bit difficult to explain with economic variables.

U.S. rates remain higher than Chinese rates, true. But during the period of dollar deposit growth, the yuan has appreciated modestly against the dollar, so a yuan-based investor would have been better off just holding yuan and profiting from the yuan's appreciation.

All that is to say: the FX deposit series behaves suspiciously like a backdoor intervention series (rising when the yuan is under pressure to appreciate, falling when there is depreciation pressure) rather than as a real indicator of onshore dollar demand.

Moreover, the recent rise in foreign currency deposits is coming from inside the financial sector, which only adds to my suspicions.

But suppose that the PBOC is right, and that the buildup of domestic dollar deposits isn't funded out of backdoor intervention.

The PBOC still needs to explain what is happening with the dollars bought by the state banks (and/or the PBOC) in the FX settlement series.

Remember that settlement is a series that shows net purchases of foreign exchange for yuan.

That is to say that an exporter bringing a dollar onshore and putting it on deposit in the state commercial banks *would not* register in the settlement data. And an exporter that sold dollars for yuan and put the yuan on deposit in the banks *would* appear in settlement.

As a result, the settlement data should be added to the flow generated by the state banks investing domestic dollar deposits abroad (at least so long as the foreign exchange from settlement isn't itself the source of the dollar deposits).

Historically, the foreign exchange bought in settlement more or less all ended up on the PBOC's balance sheet. That makes sense, because settlement implies taking an open position (holding foreign currency assets abroad against domestic currency liabilities) and the risk of losses in the event of an appreciation. It is an intervention variable after all.

In the past, a gap between foreign exchange settlement and the foreign exchange reserves reported on the PBOC's balance sheet genera[illegible]nt that the PBOC had found a way to transfer some of the foreign exchange it bought to the state commercial banks. That was certainly the case from 2006 to the middle of 2008, as the PBOC swapped its dollars for yuan and effectively lent its dollars out to the state banks to manage (as discussed previously).

But in recent years, for reasons that China has never transparently explained and that the IMF hasn't bothered to investigate, the settlement series has diverged from the PBOC's balance sheet.

My suspicion was that the “settlement gap”—the gap between the foreign exchange bought in the settlement series and the foreign exchange that shows up on the PBOC’s balance sheet—was discretely being transferred to the state banks (or the state banks were buying the foreign exchange and discretely hedging the risk with the PBOC). That would help explain the rapid growth in the foreign assets and the foreign currency assets of the state banking system.**

But let’s assume that the PBOC isn’t transferring ANY foreign exchange to the state banks to manage and the growth in the state banks external foreign exchange assets is all organic. That means that the settlement gap isn’t contributing to the rise in the external foreign currency assets of the state banks. The extra foreign exchange bought in settlement thus has to be going somewhere else. That implies that the true scale of foreign currency now flowing through

China's state institutions is even bigger than I realized.

Basically, the best current measure of state foreign currency flows would be the sum of foreign currency deposits invested abroad (proxied by domestic FX deposits net of domestic FX loans) and the foreign currency actually bought by state in the settlement series (split into settlement that appears on the PBOC's balance sheet and settlement that doesn't appear at the PBOC– the settlement gap).

One implication is that the total amount of foreign currency intermediated by the Chinese state rose to around $700 billion to their foreign assets over the last 12 months. Note that I am netting domestic fx loans against deposits to get a measure of external foreign currency assets funded domestically.***

Another implication is that the banks and the PBOC added substantially more foreign currency assets to their balance sheet in 2020 and 2021 than would be the case if FX settlement was supporting the expansion of the foreign currency assets of the state commercial banks (see the graph above).

Since the deposit series doesn't look like it maps to economic variables like rate differentials or path of the yuan against the dollar in any predictable way, deposit growth too could be viewed as a form of indirect intervention—one that helps take pressure off the more direct intervention in settlement.****

That would explain why the two series have been correlated—both are ways of absorbing appreciation pressure without (at least right now) putting foreign exchange directly on the PBOC's balance sheet.

I am not entirely sure that this is the right interpretation.

In the past, settlement that did not find its way onto the balance sheet did find its way over to the balance sheet of the state banks, which implies that the series are not additive.

But it is a potentially plausible assumption, and one that is consistent with the PBOC's claims about the state commercial banks.

I could make an even stronger assumption and include settlement on top of the growth in the entire stock of external state commercial bank assets. That includes some external RMB loans (and purchases of RMB denominated securities) financed by domestic FX deposits – as the state banks now may be meeting foreign demand to borrow in cheap RMB out of their domestic balance sheet.[*****]

That implies even more flows have been funneled through the Chinese state in the last 12 months.

To be sure, such an assumption was wrong in the past. Settlement was equal to the total flow through the PBOC and the state commercial banks prior to the global crisis, as the PBOC moved fx and fx risk over to the state banks to limit visible reserve growth.

But things have changed, and adding settlement to the flows through the state banks doesn't violate any balance of payments checks.

Bottom line: the PBOC has a lot of explaining to do. If settlement isn't funding the growth in the state banks' foreign assets, there is more overall foreign asset growth in the state financial system than I realized.

And yes, all this is rather advanced stuff. One implication of the PBOC's argument that deposit growth is unrelated to settlement is that a lot of foreign exchange must be going to institutions that don't register in the state commercial banks series; be it the policy banks, one of the state investment banks, or one of China's many sovereign investment and co-investment funds.******

I don't have full confidence in any of the adjustments right now.******* But all the indicators point to very large flows through the Chinese state financial system and underlying pressure for the yuan to appreciate.

** I covered this in detail in a previous blog.

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**** Settlement mapped to FX reserves on the PBOC balance sheet before 2016, and the PBOC balance sheet metric seems to exclude interest income. So, the settlement gap is relative to the PBO[illegible]nce sheet, not relative to reserves in the balance of payments. Interest income retained by the PBOC would be another pool of additional assets available to fund investment abroad (for example, gold purchases) "inside" the system.

***** State bank outflows register in "other" (which is basically the banking system, IMF nomenclature here is confusing) in the balance of payments data.

****** The policy banks don't appear in the PBOC banking data. Nor do the investment banks. Nor do the various sovereign funds. So, there are lots of options.

******* The SAFE data on external bank liabilities and assets by currency implies that the state banks on net actually use offshore RMB deposits to fund domestic lending, but the SAFE data here is at odds with the PBOC data (which shows much smaller external liabilities). As usual with China, nothing quite adds up.

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From Follow the Money and Greenberg Center for Geoeconomics



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By Brad W. Setser

June 1, 2026

EXPERT TAKE FOLLOW THE MONEY

# *Time to Stop Forecasting China's Surplus Away*

PUBLISHED
June 1, 2026 5:17 p.m.

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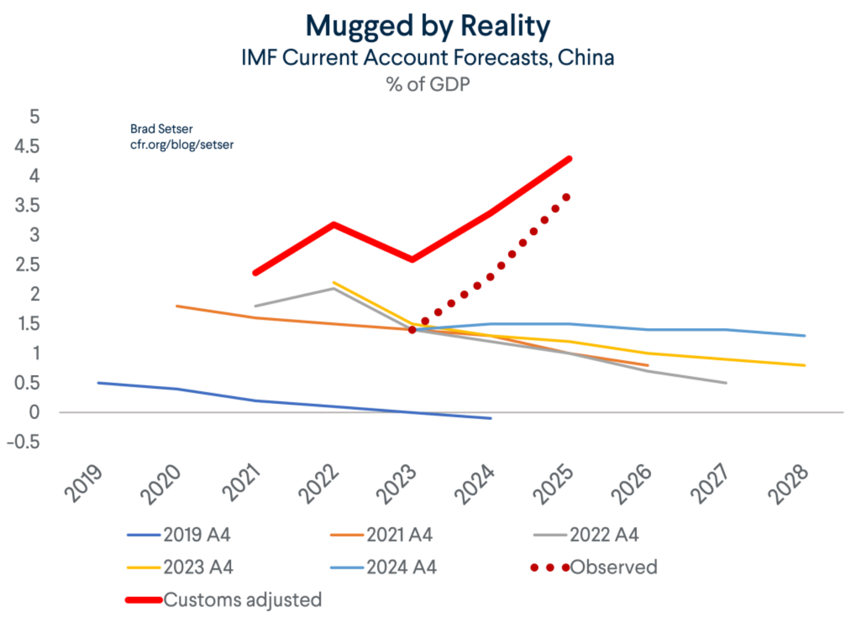
China could run a 10 percent of GDP external surplus if its savings rate stays over 40 percent of its GDP

The IMF, rather consistently, has forecast that China's surplus will fall over time.

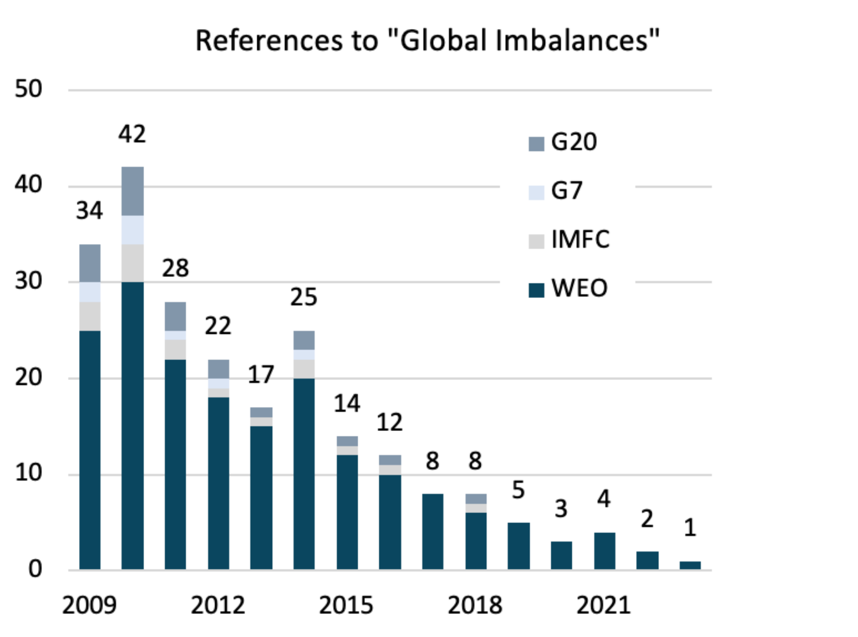
And, until very recently, the IMF more or less forecast that it would fall back to around 1% of China's GDP.

That was the IMF's forecast in 2020, 2021, 2022, 2023, and 2024.




The 2026 forecast in the latest World Economic Outlook is a bit better, but the surplus still trends back down to 2.5 percent of China's GDP over time even in the absence of any projected large policy changes.

The systemic underestimation of China's surplus was part-and-parcel of an IMF that, until last year, generally deemphasized imbalances (Imbalances were judged to be small and on a declining path through the summer of 2024; fragmentation was consistently judged to the be bigger risk). See this chart from Shahin Vallee of the German Council on Foreign Affairs:



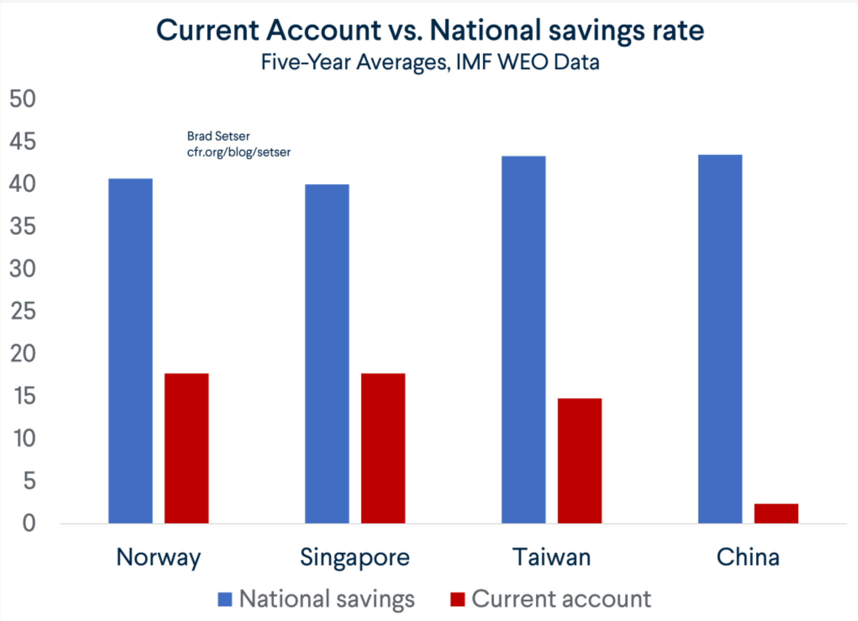

The IMF's past tendency to forecast imbalances away has long been a source of frustration to me: lazy balance of payments forecasts were a symbol of an institution that often needed to be reminded of its actual mandate. It is mostly fiscal had become it is almost all fiscal, at least when it came to the Fund's assessments of China.

There were three reasons back in 2023 to think that China's surplus would trend up.

One was that China's property bubble burst, and the bursting of property bubbles leads to falls in investment and often a rise in the surplus (or, if the property boom led to a deficit, to a reversal in the current account -- as happened with Thailand in 1995 or Spain in 2008/9). The best source on this is, well, the IMF (2024 ESR, Box 1.3).

The second was that China's exchange rate had depreciated significantly, and the IMF's own work (from back in the spring of 2015) would suggest that a weaker real exchange should push the external surplus up, not down (this was a real problem with the 2023 and 2024 forecasts).

The third is that the persistence of China's extremely high national savings rate suggest an underlying tendency toward a large external surplus. Most economies with savings rates of over 40 percent of GDP actually have current account surpluses of over 10 percent of GDP. China, even with a true current account surplus that is now close to 5 percent of GDP, is a bit of an outlier.




There was thus no real basis for the IMF to forecast a fall in China's external surplus.

I make no claims to being a great forecaster, but I did see this coming; I said as much in my 2022 Foreign Affairs article:

> "Back in 2009, China's economy was able to pivot away from exports toward domestic real estate investment to mitigate the global fallout from the U.S. housing crisis because China's financial system was strong enough to support this shift. Plus, China needed more housing and modern infrastructure. Today, China could not reverse that pivot with a large move away from real estate and back to exports without significant disruption, in part because its share of the global economy has roughly tripled in the years since the global financial crisis."

Of course, debates about the past are never just debates about the past, as there is a real—if somewhat muted debate—over whether China's trading partners should push for a policy mix that reduces China's surplus, or more or less accept that the only way out of China's fiscal, property and banking mess is an even larger external surplus.

Of course, no one explicitly says that they would welcome a bigger surplus. But if an international institution's policy advice is monetary easing (to fight deflation), fiscal consolidation (because of off-balance sheet fiscal risks) and more exchange rate flexibility it is effectively advocating for the country to export its way out of its domestic troubles.

There is a variant of this argument which claims that it is impossible for China to generate a real appreciation now, as any nominal appreciation will be nominal prices are sticky (even in China) and nominal moves do generate real moves (the last 8 months have been a case in point).

Of course, it is much more difficult for the IMF or any other body to recommend explicitly that China export its way out of its domestic property downturn now than it was during the peak of the Covid crisis. After five or so years of export-led growth, China's surplus is not only big—it is much bigger than the IMF's models imply it should be.

China's leading think tanks now tend to argue that China's surplus is just a function of China's evolving pattern of comparative advantage, and thus something that China's trading partners should accept. That claim is of course incomplete; comparative advantage implies both exporting and importing more, as both trading partners specialize. Over the last five years, China's expo[illegible] soared—

growing faster than either global trade (especially in real terms) or China's own economy—while China's import growth has been unimpressive. Even almost non-existent. The surge in both exports and imports in Q1 seems to stem primarily from imports of previous metals and a faulty semiconductor price adjustment (which ends up overstating import volumes, roughly one quarter of China's imports of manufactures are chips).

The basic question facing China and its trading partners now is whether it is worth pushing China to change its pattern of growth, or whether, well, China's trading partners should just, well, chill, and accept China's "comparative advantage in industrial policy" will result in an ever more unbalanced Chinese economy.

I think the answer is obvious.

A deindustrialized Europe isn't in the interest of its military allies, including (for now at least) the United States.

A deindustrialized and politically radicalized Europe isn't in the interest of Europe's neighbors.

And a China that controls more of global supply will be in a stronger position to impose its policy preferences on the rest of the world. It will be very difficult to reduce weaponizable supply chain dependencies on China if the world is being more, not less, dependent on China in aggregate. Growing dependencies on base chemicals even as dependencies on the chemical precursors for active pharmaceuticals remain unresolved suggests the EU and the U.S. (together, or more likely separately) aren't yet prepared to effectively counter Chinese supply chain warfare.

All this matters, of course, because without a change in China's savings rate, any fall in investment should push China's surplus up more. The IMF's latest policy package for China recommends a permanent reduction to subsidized industrial investment (fair enough) and a modest and temporary half point of GDP in fiscal support for consumption. (paragraph 63)

The claim is that the reduction in inefficient investment will on its own raise demand today as consumers will instantly realize that they will be wealthier in the future and thus raise t consumption. I am more of a bird in hand kind of guy; households who lose jobs building new factories aren't going to suddenly raise their consumption. A stronger push to support consumption would be needed to avoid a rise in the current account surplus if investment in both property and new manufacturing capacity are depressed.

The bigger point is that China is a bit of an outlier.

For example, it has a managed currency that is an independent vector of policy, one that isn't just a reflection of monetary policy choices.

And conventional policy advice needs to be recalibrated, at least in my view, in the context of an economy of China's size that saves 40 percent of its GDP. Singapore doesn't have China's scale—its 20 percent surplus is too high, but doesn't generate large global spillovers.

China's move back to surplus of 5 percent of its GDP* has resulted in large, negative spillovers to other manufacturing driven economies. A move toward a 10 percent or 15 percent of GDP surplus would have even bigger negative implications for China's trading partners. That should give even conventional macroeconomists pause because they advocate solutions to China's domestic imbalances that would imply even larger Chinese external imbalances—and a more distorted global economy.

* Correctly measured, as China clearly understates its investment income and the 2022 "survey" based adjustment to the goods line in the balance of payments still may knock a percentage point off the recorded surplus. A survey based methodology is something the IMF recommends (mistakenly in my view) but that doesn't change the fact that the introduction of this methodology revised China's surplus down in ways that neither the IMF or SAFE have been able to explain.

From Follow the Money and Greenberg Center for Geoeconomics



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Democracies Are Scrambling to Respond as Transnational Repression Worsens

By Joshua Kurlantzick

June 1, 2026

EXPERT TAKE FOLLOW THE MONEY

# *The Future of American Strategy: Weaponizing Interdependence*

A short essay, originally published by CFR's Future of American Strategy Initiative, on how power in the international economic system has evolved and lessons from a year when Trump weaponized access to U.S. demand while Xi weaponized access to Chinese supply.

**PUBLISHED**
May 26, 2026 1:43 p.m.

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China's stunning rise, and its global lead in manufacturing, have raised questions about both the nature of economic power and the United States' continued economic preeminence. In one sense, there is not much reason for debate: the U.S. share of global output has been remarkably constant over the last forty years. China's rise, though extraordinary, has statistically come at the expense of the other Group of Seven (G7) countries. And U.S. financial markets, or at least its equity market, account for a larger share of any global stock index than at any point in the last fifty years.

But that misses enormous changes in how sources of economic leverage are conceived and defined. Ten years ago, conventional wisdom held that economic power flowed from creating rules and influencing global institutions. The central argument, at least in Washington, was that the United States could leverage its 20 percent share of the world economy to write nearly 100 percent of global economic rules and simultaneously maintain controlling stakes in the key international financial institutions.

But China had no intention of playing by rules it did not write. Beijing, therefore, ignored the rules and played by its own, achieving significant industrial and technological successes. An outstanding example is its creation of a world-leading electric vehicle industry, shielded by a tariff wall and nourished by large state subsidies. Even in the United States, political support for many of the established rules has been weakened by the sense that they were written primarily to benefit a narrow slice of the U.S. population.

The old thesis of sources of economic power has lost intellectual dominance. Now, economic power is instead largely conceptualized through the logic of weaponized interdependence. There have been lively debates over when interdependence becomes dependence, when dependence needs to be reduced or simply managed, and whether states can deter other states from weaponizing their economic chokepoints.

As those debates played out, President Donald Trump started his second term by weaponizing access to the U.S. consumer market. Traditional trade deals—where both parties reduced barriers—were shunned, and the constraints of legacy trade agreements were cast aside. The goal of Trump's second-term tariffs was not to negotiate new global rules for trade, but to compel U.S. trading partners to accept unequal terms. The United States raised tariffs, and other countries agreed, albeit reluctantly, not only to refrain from raising their own tariffs in retaliation but also to reduce their own tariffs. The European Union, though, argues it did so because of its dependence on the United States for security, rather than its dependence on the U.S. market.

The most important development of 2025, though, was that China did not accept a deal akin to the one the United States hashed out with the EU in Turnberry, Scotland, where the Trump administration forced Europe to accept high tariffs in exchange for access to the U.S. market. Beijing pushed back forcefully against Washington's demands and ultimately was able to convince the administration both to roll back its tariffs and to narrow certain proposed export restrictions. China did so by walling off its market to U.S. goods, counting on pressure from the farm states that rely on the Chinese export market to moderate U.S. demands (its playbook from Trump's first term). It also weaponized its dominance of the supply chains needed to produce rare earths and other critical minerals, laying out comprehensive export controls that threatened to shut down the U.S. auto industry and complicate military production. This Chinese action established a precedent that in many ways is more important than the Trump administration's decision to disregard the United States' WTO tariff commitments and raise tariffs to levels not seen since the 1930s.

It is worth noting that China's response to U.S. tariff threats came through its control of key supply chains, not through its weaponizing of U.S. bond holdings. That fact alone suggests that transforming finance into leverage to achieve strategic goals is harder than often assumed. Further evidence can be seen in the great difficulty that China has had in converting its Belt and Road lending into enduring influence. Ecuador, for example, took a great deal of Belt and Road money to build hydroelectric dams without ending up permanently in China's orbit. And when Zambia defaulted on loans from China's Export-Import Bank and other state banks, it ended up reducing China's leverage over the country, rather than increasing it.

The relative weakness of finance as leverage could also be seen following the financial sanctions that G7 countries though those were among the strongest possible financial sanctions, they did not hinder Moscow's ability to fight. Rather, its aggression against Ukraine continues four years after its reserves were frozen and its access to new international lending entirely cut off.

The reality is that most countries do not depend on either U.S. financial markets or the U.S. government for funding. Instead, the global flow of capital is overwhelmingly into the United States, not from the United States to the rest of the world. Wall Street's core work is mobilizing global funds to invest in the U.S. economy, not mobilizing U.S. funds to invest globally. Countries that fund the United States aren't necessarily going to be deterred by the prospect that they cannot raise funds in the United States, and the United States has been less willing to impose sanctions limiting new inflows into the U.S. bond market than to try to raise a toll for access to the U.S. consumer market.

One reason Russia survived heavy Western sanctions is that it did not need access to either its accumulated foreign currency reserves or new U.S. or European financing to prosecute its war against Ukraine. So long as there were buyers for Russian oil exports, the Kremlin would be fine. China is in a similar position; its industrial, technological, and strategic goals can be financed entirely out of the country's large domestic savings. Its state banks fund the rest of the world out of domestic savings, not the other way around.

The United States still has unrivalled influence over the global economy. But U.S. leverage is not unlimited. The United States faces a determined rival with many cards of its own to play. It isn't in a position to use its economic leverage to impose any vision of a global economic order on China, let alone use its economic pull to integrate China into a strategic order. Nor have the consequences of a world where the two leading economic powers have weaponized supply (as China has) and demand (as the United States has) been fully digested by the rest of the global economy. The old global economic order is dying; a new one has yet to be born.

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By Joshua Kurlantzick
May 19, 2026

EXPERT TAKE FOLLOW THE MONEY

# *Finding China in the U.S. TIC Data*

A technical post with an important update to my estimate of China's true holdings of U.S. bonds.

PUBLISHED
May 18, 2026 8:16 a.m.

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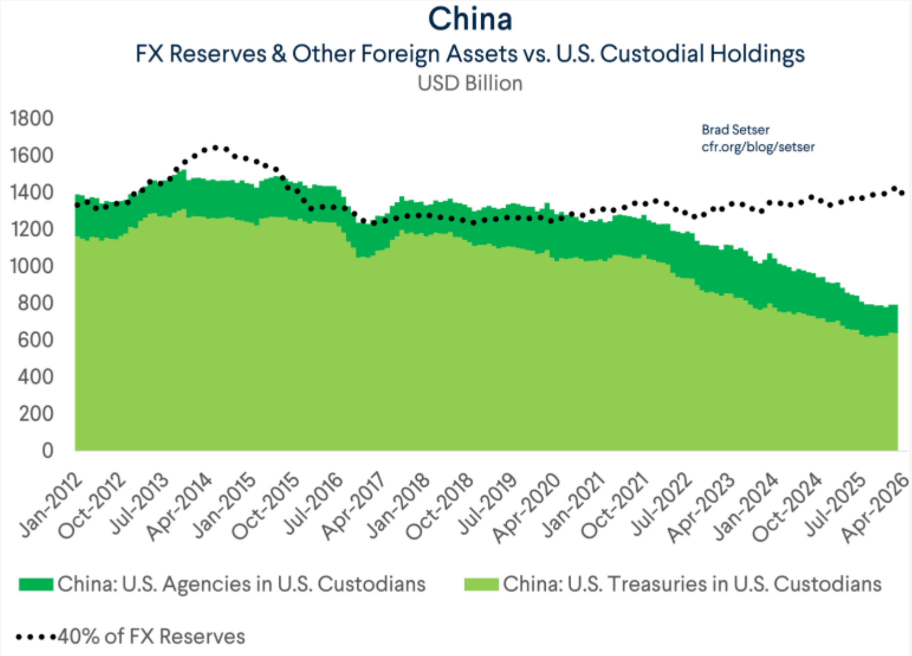
The joint G7 decision to sanction Russia's reserves after the invasion of Ukraine clearly had a significant impact on China.

Some say that it led China to diversify out of the dollar. I have doubts.

Yes, there was an increased bid for gold from the PBOC. But that bid was, judging from China's disclosed data, marginal.*

China hasn't disclosed the currency composition of its reserves since 2020. But it isn't clear that China's central bank has shifted its currency composition of its foreign currency holdings around a lot, in part because the dollar share of its reserves was already low (55 percent) and going underweight the dollar means losing yield.

But there is no doubt that China's holdings did start to disappear from the U.S. data right after the G-7 immobilized Russian reserves in early 2022. There is a clearly fall around this time in the bonds China holds in U.S. custodians.




This often is reported as a move out of the dollar—but it need not be.

There are lots of ways of holding U.S. dollars indirectly through non-U.S. custodians.

The hard part is estimating just how many bonds China holds through the various custodial and financial centers around the world. That is, of course, the subject of this blog.

Estimating China's true holdings of U.S. assets has gotten harder because it seems like China has diversified not just out of the US, but also out of Euroclear (a large Belgium-based custodian). Its holdings in Belgium were a bit too obvious, and the Euroclear custodial arrangement turns out to be punitive to a sanctioned central bank.

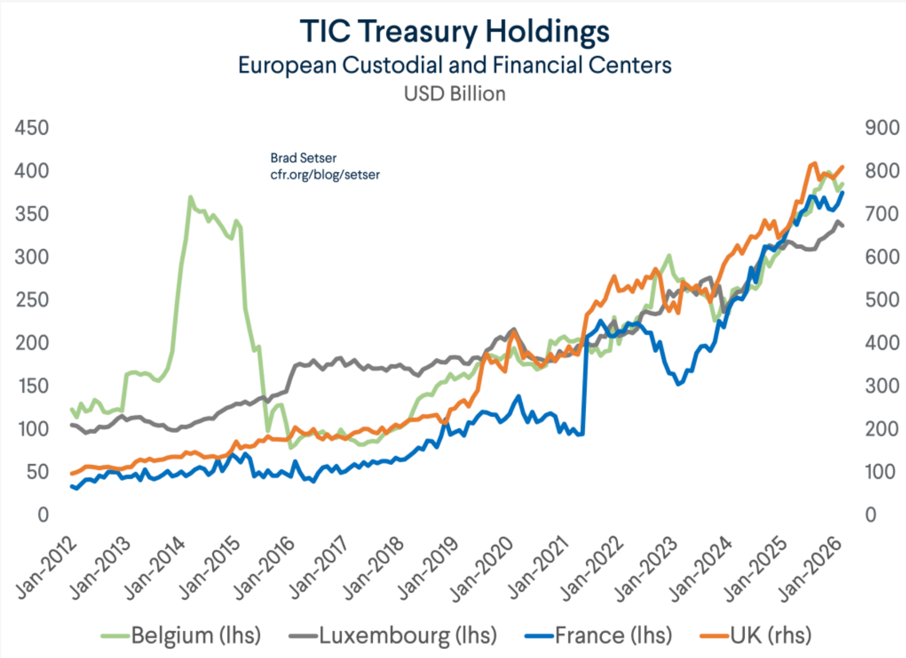
## The Origins of the "Belgium Adjustment"

The initial attribution of the bulk of the Treasuries held in Euroclear's custodial account to China was based on three factors.

First, Belgium entered the data in a strange way. Back during the days of a separate transactions data series, there were almost no direct purchases of U.S. bonds by Belgian entities. Treasuries that ended up in Belgium were all bought in other jurisdictions (London, Paris, sometimes Hong Kong) and then moved to a Belgian custodian. That mapped to the fact that China never appeared cleanly in the purchases data; many of its U.S. holdings also didn't appear in the transactions data either.

Second, SAFE has an equity stake in Euroclear, which always seemed like a hint.

Third, Belgium's holdings didn't move with the other custodial centers, but did move with China's reserves.




In fact, the adjustment for "Belgium" is essential to get a good fit with changes in China reserves in 2015 and 2016, as the Treasuries in Euroclear were sold before the Treasuries in U.S. custodians.


But the attribution to Belgium is now stale. It is essentially based on data from 2010 to 2016. In recent years there has been no real difference between the movement of Treasuries held in Belgium and Treasuries held in other European financial centers.

## A new Model for China's Treasury Holdings—Using all European financial centers

Since 2020 or so, there has been a huge increase in the Treasuries held in custodians in the UK, France, Luxembourg, and Belgium. Ireland of course also holds a lot of Treasuries too, but those are thought to the assets of U.S. firms that use Ireland as a center of tax avoidance.

The rise in the Treasury holdings of a broad set of custodial centers hints that China could now be using a broader set of custodians. It certainly has a reason not to just use Euroclear (Belgium) these days. The freeze on Russia's reserves not only put Euroclear in the news but it also highlighted a specific risk to holding assets that could be frozen in Euroclear: Euroclear doesn't pay interest to the owner of a frozen asset after a bond in its custodial account matures; the funds just roll into a zero-interest deposit account.

It would be easier to attribute some of the rise in the holdings of these custodial centers to China is China's reserves were rising and the rise in reserves could be matched to the rise in custodial holdings of a particular center (as with Belgium from 2010 to 2014). But now the match is more complicated as China's reserves are basically flat (the rising foreign assets of the state banks do not tend to appear cleanly in the U.S. data). In order for the pieces of the puzzle to fit, there should a rise in the holdings of the custodial centers that offsets the gap created by the fall in Treasuries in U.S. custodians relative to China's reserves.

And since all the custodial centers are now moving together, any one of the centers could be helping to fill that gap.

It turns out that Belgium is around 20 percent of the total Treasuries held in the main European custodial centers other than Ireland (France, the UK and Luxembourg). As a result, changing the custodial center adjustment from "all long-term holdings in Belgium" to 20 percent of the Treasuries held in Belgium, Luxembourg, the UK and France—with the new adjustment starting during the pandemic—doesn't change China's total estimated holdings much.

The new methodology though does indicate a lower level of confidence in the adjustment, and thus a higher probability that Treasuries held by non-U.S. custodians for Chinese state investors could be somewhat smaller or higher than this calculation assumes.

To highlight this point, look at a plot with 30 percent of the holdings in all the custodial centers attributed to China. It looks different than the Belgium-only adjustment I used to use both in the 2010 to 2016 period and now.

As an aside, it wouldn't matter if the UK were removed from the estimate on the grounds that the UK's big Treasury holdings reflect basis trades and other relative-value trades by London-based hedge funds and similar financially driven flows. Belgian, Luxembourgeois and French holdings have all moved together.

## Oh, Canada: China's Hidden Agency Book

In the past, I didn't adjust China's reported holdings of Agencies in my benchmark estimate of China's U.S. holdings. But though needs to change.

China's holdings of Agencies in U.S. custodians stopped rising in early 2022 and really started to fall after the end of 2023. They now stands at around $150 billion, down from a recent peak of over $250 billion.

And there have big, and some surprising, changes in the rest of the Agency custodial data since the pandemic.*

For one, Canada—or someone using a Canadian custodian—took a sudden interest in Agencies around 2020. There was a big jump in the June 2021 annual survey, and Canadian holdings continued to rise through 2024.

There were also substantial rises in the Agency holdings of Luxembourg and France in 2024 and 2025, as well as some strange moves in the UK that drove the European data from 2020 to 2022.

Sum up China's holdings with the holdings of Canada and the European custodial centers* and an upper-end estimate for China's true Agency holdings could be as high as $500 billion.

That seems a bit too high. Unless there has been a really big shift out of Treasuries or some other shift in the underlying data, this would imply that China's dollar share is going up, not down (the other logical possibility is that China's state banks have started to appear in the data).***

A more modest adjustment just looks at the change in Canadian, Luxembourgeois, and French holdings since 2022 or so. That puts China's current holdings at around $300 billion.

This is as much an art as a science.

I am focusing on countries whose Agency holdings jumped suspiciously around the time China's holdings started to fall (just as Belgium's holdings jumped once the U.S. custodial data got more attention), together with the surprise rise in Canadian holdings over the last five years, and using that jump to make an estimate of what China's actual portfolio might be. And to make the chart look smooth I left out the big jump in French and Canadian custodial holdings in June 2021. Add those in and China's holdings jump by around $70 billion, to close to $400 billion.

And full disclosure: I got a tip from a market insider who suggested that the rise in Canada's holdin[illegible]ather suspicious.

The overall result suggests that China has reduced the share of its portfolio in long-term Treasuries, while increasing its bill holdings and maintaining a sizeable Agency portfolio of around 10 percent of total reserves (more than before 2020).

Zooming in on the chart in highlights that the key implication of this upward adjustment to China's estimated holdings of Agencies is that China's total U.S. financial holdings remain between 50 and 55 percent of it reserve portfolio.

The error band is conscious; I don't have a good estimate of the portfolio equity holdings of China's sovereign wealth fund that are managed in-house and could bleed into the U.S. TIC data, and attributing all the visible equity holdings to SAFE is a stretch.

The bigger story, of course, is that China's true holdings of U.S. bonds cannot be assessed by just looking at the "China" line in the TIC data. Both the Treasury and the Agency portfolios need to be adjusted for the bonds that China keeps on custody in Canada and in Europe.

That adds to uncertainty around the estimate, as it seems likely that China is now using multiple non-U.S. custodians to mask its true holdings.

But it doesn't make it any less necessary to try to do an adjustment, and not to take the now predictable falls in the bonds that China holds in U.S. custodians as evidence that China is abandoning the dollar.

* The PBOC balance sheet data suggests only a bit over 10 million fine troy ounces in gold purchases; most of the reported increase in gold holdings is from [illegible] gold prices.

Of course, many suspect that China isn't disclosing all of the gold now held by the central bank.

** Neither Canada nor Europe (or rather investors using U.S. custodians) have historically been big holders of Agencies. The big buyers abroad were in Japan and Taiwan—and of course China. Korea was a smaller player in the market. Agencies have appealed to both large reserve managers and Asian life insurers looking for a bit more yield than available in either their local bond market or in U.S. Treasuries.

*** The large dollar portfolios of China's state commercial banks have never appeared cleanly in the U.S. data for a host of reasons—not the least of which is that they don't have access to the Fed's custodial facilities. It it possible that some of their $400 billion in foreign securities holdings (per the Chinese banking data) could be bleeding into the custodial data now. But their biggest market impact has been indirect, as a source of funding for global investors, including hedge funds, that buy and hold Treasuries as one leg in a basis or swap-spreads trade. Both trades require holding large quantities of cash bonds, and thus large amounts of funding. And Chinese bank claims on other banks have been rising.

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